locations, and covered approximately 44,000 shareholder meetings in 115 countries, annually.[506] ISS states that it executes about 10.2 million ballots annually on behalf of those clients representing 4.2 trillion shares.[507] ISS is registered with the Commission as an investment adviser and identifies its work as pension consultant as the basis for registering as an adviser.[508]

- Glass Lewis, established in 2003, is a privately-held company that provides research and analysis of proxy issues, custom policy implementation, vote recommendations, vote execution, and reporting and regulatory disclosure services to institutional investors.[509] As of April 2020, Glass Lewis had more than 380 employees worldwide that provide services to more than 1,300 clients that collectively manage more than $35 trillion in assets.[510] Glass Lewis states that it covers more than 20,000 shareholder meetings across approximately 100 global markets annually.[511] Glass Lewis is not registered with the Commission in any capacity.
- Egan-Jones was established in 2002 as a division of Egan-Jones Ratings Company.[512] Egan-Jones is a privately-held company that provides proxy services,

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[506] *See* ABOUT ISS, *available at* https://www.issgovernance.com/about/about-iss/ (last visited May 22, 2020). *See also supra* note 10.

[507] *See* ABOUT ISS, https://www.issgovernance.com/about/about-iss/ (last visited May 22, 2020).

[508] *See* Form ADV filing for ISS, available at: https://adviserinfo.sec.gov/IAPD/content/ViewForm/crd_iapd_stream_pdf.aspx?ORG_PK=111940 (last accessed April 23, 2020). *See also* 2016 GAO Report, *supra* note 141, at 9.

[509] *Id.* at 7.

[510] *See* GLASS LEWIS COMPANY OVERVIEW, *available at* https://www.glasslewis.com/company-overview/ (last visited Apr. 26, 2020).

[511] *Id*.

[512] *See* 2016 GAO Report, *supra* note 141, at 7.

such as notification of meetings, research and recommendations on selected matters to be voted on, voting guidelines, execution of votes, and regulatory disclosure.[513] As of September 2016, Egan-Jones' proxy research or voting clients mostly consisted of mid- to large-sized mutual funds,[514] and the firm covered approximately 40,000 companies.[515] Egan-Jones Ratings Company (Egan-Jones' parent company) is registered with the Commission as a Nationally Recognized Statistical Ratings Organization.[516]

Of the three proxy voting advice businesses identified, ISS and Glass Lewis are the largest and most often used for proxy voting advice.[517] We do not have access to general financial information for ISS, Glass Lewis, and Egan-Jones such as annual revenues, earnings before interest, taxes, depreciation, and amortization, and net income. We also do not have access to client-specific financial information or more general or aggregate information regarding the economics of the proxy voting advice business.

Several commenters stated that the economic analysis in the Proposing Release failed to consider effects of the proposal on smaller firms that provide proxy voting services, such as

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[513] *Id*.

[514] *Id*.

[515] *Id*. While ISS and Glass Lewis have published updated coverage statistics on their websites, the most recent data available for Egan-Jones was compiled in the 2016 GAO Report.

[516] *See* Order Granting Registration of Egan-Jones Rating Company as a Nationally Recognized Statistical Rating Organization, Exchange Act Release No. 34-57031 (Dec. 21, 2007), *available at* https://www.sec.gov/ocr/ocr-current-nrsros.html#egan-jones.

[517] *See* 2016 GAO Report, *supra* note 141, at 8, 41 ("In some instances, we focused our review on Institutional Shareholder Services (ISS) and Glass Lewis and Co. (Glass Lewis) because they have the largest number of clients in the proxy advisory firm market in the United States."); *see also* letters in response to the SEC Staff Roundtable on the Proxy Process from Center on Executive Compensation (Mar. 7, 2019) (noting that there are "two firms controlling roughly 97% of the market share for such services"); Society for Corporate Governance (Nov. 9, 2018) ("While there are five primary proxy advisory firms in the U.S., today the market is essentially a duopoly consisting of Institutional Shareholder Services . . . and Glass Lewis & Co. . . . .").

Investor Advocates for Social Justice ("IASJ").[518] Further, commenters stated that the final amendments could affect the propensity of non-U.S. firms to compete with U.S. proxy voting advice businesses.[519] Based on the information available to the Commission,[520] including comments on the Proposing Release, we are not aware of smaller firms that currently supply research, analysis, and recommendations in the United States to support the voting decisions of their clients that would fall within the definition of "solicitation." We acknowledge that any smaller firms or non-U.S. proxy voting advice businesses could be affected by the final amendments to the extent they provide proxy voting advice on registrants who have filed proxy materials with the Commission, or if the final amendments affect their willingness to enter the market to supply proxy voting advice in the United States.

In a principal-agent relationship, such as the relationship between a proxy voting advice business and a client, to the extent that the principals' and agents' interests are not perfectly aligned, agents can expend resources to assure principals that they will act in the principals' best interest. When agents operate in a competitive market soliciting business from principals, they have an incentive to expend resources to assure principals that they will act in the principals' best interest, or risk putting themselves at a competitive disadvantage.[521] Where the agent's interest

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[518] *See* letter from IASJ. We understand that this firm typically does not make voting recommendations to its institutional investor clients but rather assists those "who seek a partner to carry out their proxy voting." *Id.* To the extent a firm does not make voting recommendations to its clients and is instead exercising delegated authority on their behalf, it would not be engaged in a "solicitation" within the meaning of Rule 14a-1(l)(1)(iii)(A). *See supra* notes 170-173 and accompanying text. Therefore, based on our understanding of its current activities, this commenter (and others engaged in similar conduct) would not appear to be subject to compliance with Rule 14a-2(b)(9). *See also* letters from Felician Sisters II; Good Shepherd; Interfaith Center II; ProxyVote II; Segal Marco II; St. Dominic of Caldwell.

[519] *See* letters from Minerva I; PIRC.

[520] Our awareness of providers of proxy voting services may be limited because firms that provide proxy voting services, including proxy voting advice businesses, do not always engage in activities that would require them to register with the Commission. *See supra* Section I.

[521] Agents have an incentive to expend resources to assure principals that they will act in the principals' best interest as long as the cost of providing the assurance is less than the value of the assurance to principals.

and the principal's interest diverge, there can be a strong counterweight to this incentive and where a relationship is multifaceted the agent may emphasize areas of alignment and de-emphasize areas of conflict. In the proxy voting advice market, certain practices by proxy voting advice businesses serve as mechanisms to assure their clients that proxy voting advice businesses will take actions that are in clients' best interest. All three major proxy voting advice businesses have policies, procedures, and disclosures in place that are intended to reduce clients' costs of monitoring the businesses' behavior.[522]

Proxy voting advice businesses' reliance on information available to all shareholders is one example of how current market practices may mitigate agency costs. One commenter noted that facing the prospect of having their work checked by clients can discipline proxy voting advice businesses that might otherwise act based on conflicts of interest when developing proxy advice.[523] The same commenter included use of publicly available information as a step it has taken to "ensure quality and minimize error in its published research."[524] The three major proxy voting advice businesses state that they base their recommendations exclusively on information that is publicly available. Relying on publicly available information to develop proxy advice enables clients to validate the inputs that proxy voting advice businesses provide, rather than expending effort to obtain proprietary, and potentially commercially sensitive, information directly from registrants or other sources.

As part of our consideration of the baseline for the final rules, we focus on two industry practices that are particularly relevant for the new conditions in Rule 14a-2(b): conflicts of interest disclosure and procedures for engagement with registrants.

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[522] *See, e.g.*, letter from Glass Lewis II.

[523] *See* letter from ISS.

[524] *See id.*

i. Conflict of Interest Disclosures

While the nature of potential conflicts related to revenues might be different among the three proxy voting advice businesses, all three proxy voting advice businesses have conflicts of interest policies and make disclosures to clients disclosing the nature of potential conflicts and the steps that they have taken to address them.[525] These existing policies and disclosures are part of the economic baseline for the amendments.

For example, we understand that ISS has implemented policies and procedures designed to prevent and manage conflicts that could arise from the work of ISS' research and analytics teams ("Global Research") and the work of ISS Corporate Solutions ("ICS") for public companies.[526] More specifically, Global Research prepares proxy voting governance research, analyzes proxy issues, and provides ratings on, and other assessments of, public companies for the benefit of institutional investors. ICS provides advisory services, analytical tools, and publications to registrants to enable registrants to improve shareholder value and reduce risk. According to ISS, one of the primary steps the firm has taken to prevent and manage this potential conflict of interest is implementing a firewall with the goal of separating ICS from ISS. ISS notes that it makes available to its institutional clients information about the relationships between ICS and its clients in a way that is intended not to alert Global Research analysts to the possible existence of such relationships. ISS also notes that it adds a legend to each global or domestic proxy analysis advising the reader of the existence of ICS and offering ISS' clients the ability to learn more about ICS and its clients. In addition, ISS indicates that it has implemented a policy on the disclosure of

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[525] *See, e.g.*, letters from ISS; Glass Lewis II. *See also* EGAN-JONES PROXY SERVICES CONFLICT OF INTEREST STATEMENT (Sept. 2019), *available at* https://www.ejproxy.com/media/documents/Egan-Jones_Proxy_Conflict-of-Interest_Sep-2019.pdf.

[526] *See* ISS, BEST PRACTICE PRINCIPLES FOR PROVIDERS OF SHAREHOLDER VOTING RESEARCH & ANALYSIS: ISS COMPLIANCE STATEMENT (2017), *available at* https://www.issgovernance.com/file/duediligence/best-practices-principles-iss-compliance-statement-april-2017-update.pdf.

significant relationships, under which ISS provides clients with "proactive visibility" regarding a range of significant relationships within the client-facing side of the ProxyExchange platform.[527] ICS also discloses in all of its contracts that ISS' status as a registered investment adviser (as well as its internal policies and procedures) may require ISS to disclose to ISS institutional clients ICS' relationship with the registrant.

We understand the other two major proxy voting advice businesses also provide disclosure of potential conflicts of interest. Glass Lewis notes that it provides disclosure of potential conflicts on the cover of the relevant research report.[528] This is intended to enable clients and any other parties with access to a Glass Lewis report (*e.g.*, the media) to review potential conflicts at the same time they review the research, analysis, and voting recommendations contained therein. Egan-Jones also discloses its management of three categories of potential conflicts—revenue, cost, and structural—to the public.[529]

Thus, it appears that all three major proxy voting advice businesses have some level of conflict of interest disclosure policies in place and provide such disclosure to affected parties. These disclosures, which are intended to support the objectivity of voting advice and the integrity of the voting process, may overlap to a certain degree with the requirements in the final amendments. These disclosure policies, however, vary in terms of structure and coverage as well as the manner the in which the information is conveyed.

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[527] *See* ISS POLICY REGARDING DISCLOSURE OF SIGNIFICANT RELATIONSHIPS, *available at* https://www.issgovernance.com/file/duediligence/Disclosure-of-Significant-Relationships.pdf (last visited Apr. 27, 2020).

[528] *See* GLASS LEWIS' POLICIES AND PROCEDURES FOR MANAGING AND DISCLOSING CONFLICTS OF INTEREST (2019), *available at* https://www.glasslewis.com/wp-content/uploads/2019/11/GL-Policies-and-Procedures-for-Managing-and-Disclosing-Conflicts-of-Interest-050819-FINAL.pdf.

[529] *See* EGAN-JONES PROXY SERVICES CONFLICT OF INTEREST STATEMENT, *available at* https://ejproxy.com/media/documents/Egan-Jones_Proxy_Conflict-of-Interest_Sep-2019.pdf (last visited Apr. 27, 2020).

ii. Engagement with Registrants

The following section discusses existing proxy voting advice business engagement with the subjects of proxy voting advice—one avenue by which such businesses may signal to their clients that the information underlying proxy voting advice is accurate, transparent, and complete.

We understand that all three major proxy voting advice businesses have certain policies, procedures, and disclosures in place intended to assure clients that the voting advice they receive will be based on accurate, transparent, and complete information. In some cases, proxy voting advice businesses seek input from registrants to further these objectives. All three of these proxy voting advice businesses offer certain registrants some form of pre-release review of at least some of their proxy voting advice reports, or the data used in their reports. Also, all three such proxy voting advice businesses offer some registrants access to proxy voting reports and offer mechanisms by which registrants can provide feedback on those reports, in some cases for a fee.

For example, ISS states that it may, in some circumstances, give registrants, whether or not they are ICS clients, the right to review draft research analyses, ratings, or other advisory research reports so that ISS may correct factual inaccuracies before delivering final voting advice. ISS acknowledges that review of draft analyses may provide an opportunity for registrants to unduly influence those analyses and reports. To avoid the appearance of impropriety, ISS states that it generally offers registrants an opportunity to review a draft proxy analysis, rating, or other research report only for the purposes of verifying the factual accuracy of information. ISS further states that it retains sole discretion whether to accept any change recommended by the registrant. ISS's policies also govern changes to analyses based on registrant feedback. According to ISS's Code of Ethics, if the analyst changes the proposed voting recommendation or other proposed

conclusion, the proposed change must be reviewed by a senior analyst and ISS will retain in its files the documents supplied by the registrant detailing the factual inaccuracies.[530]

Glass Lewis introduced a "Report Feedback Statement" service in 2019 that has allowed companies to submit feedback on Glass Lewis reports and have that feedback be transmitted directly to Glass Lewis clients in the proxy research papers they receive.[531] In addition to these services, beginning in 2015, Glass Lewis started providing the subjects of its research with its Issuer Data Report, which details the key facts underlying the relevant report for their review before the report is finalized. According to Glass Lewis, materials provided are deliberately limited. Glass Lewis has indicated that by providing the facts underlying the report, it can benefit from registrant review without inviting debates about Glass Lewis' methodology or what result that methodology should lead to in the context of a particular recommendation. This service has been available without a fee for several years and more than 1,400 companies currently participate in it on an annual basis.[532]

Egan-Jones provides several avenues for registrants to review and correct any material errors found in its reports. Registrants may obtain a "draft," or pre-publication copy, of a report pertaining to them in order to review it. If a registrant believes there is a material error in an Egan-Jones report, the registrant may contact Egan-Jones directly. In addition, major U.S. third-party proxy solicitors participate in Egan-Jones' Research Preview program. Through that program, proxy solicitors can supply draft copies of the research regarding the registrant to the

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[530] *See* ISS CODE OF ETHICS 7 (2020), *available at* https://www.issgovernance.com/file/duediligence/code-of-ethics-mar-2020.pdf.

[531] *See* Press Release, Glass Lewis, Glass Lewis Announces that Company Opinions are Now Included With Research and Voting Recommendations (Apr. 2, 2020), *available at* https://glasslewis.com/report-feedback-statement-included-with-research. *See also* Press Release, Glass Lewis, Glass Lewis Launches Report Feedback Statement Service (Mar. 14, 2020), *available at* https://glasslewis.com/glass-lewis-launches-report-feedback-statement-service.

[532] *See* letter from Glass Lewis II.

registrant, and convey appropriate documentation to Egan-Jones to correct any errors found in the research on behalf of the registrant.[533]

Although the three major proxy voting advice businesses offer registrants opportunities to review proxy voting advice, existing policies and procedures limit review in some respects. ISS, for example, offers only "eligible" registrants an opportunity to review draft proxy analyses and generally uses the S&P 500 constituent list to determine eligibility. Moreover, even for eligible companies, ISS provides an opportunity to review solely on a "best-efforts" basis.[534] As noted above, Glass Lewis indicates that its registrant review process is limited to pre-publication review of only the key facts underlying each relevant report.[535]

Additionally, it is our understanding that some proxy voting advice businesses currently include links to filings by registrants that are the subject of proxy advice in their online platforms. These links provide a means by which clients may access additional definitive proxy materials that registrants may file in response to proxy voting advice.

Non-U.S. proxy voting advice businesses that are signatories to the Best Practice Principles for Shareholder Voting Research have provided information about their engagement with registrants.[536] Based on these public disclosures, we understand that levels of registrant engagement vary across non-U.S. proxy voting advice businesses. For example, the U.K.-based firm PIRC states that it provides pre-publication drafts of proxy voting advice to registrants for

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[533] *See* EGAN-JONES ISSUER ENGAGEMENT, *available at* https://ejproxy.com/issuers (last visited Apr. 28, 2020).

[534] *See* ISS DRAFT REVIEW PROCESS FOR U.S. ISSUERS, *available at* https://issgovernance.com/iss-draft-review-process-u-s-issuers/ (last visited Apr. 28 2020).

[535] *See supra* note 532.

[536] *See* BPP GROUP SIGNATORY STATEMENTS, *available at* https://bppgrp.info/signatory-statements (last visited Apr. 29, 2020).

some jurisdictions as a courtesy, while France-based firm Proxinvest does not.[537] While acknowledging the practices of these non-U.S. proxy voting advice businesses, this section focuses on the three major proxy voting advice businesses that operate in the United States.[538]

b. Clients of Proxy Voting Advice Businesses as Well as Underlying Investors

Clients that use proxy voting advice businesses for voting advice will be affected by the final rule amendments. In turn, investors and other groups on whose behalf these clients make voting determinations will be affected. One of the three major proxy voting advice businesses—ISS—is registered with the Commission as an investment adviser and as such, provides annually updated disclosure with respect to its types of clients on Form ADV. Table 1 below reports client types as disclosed by ISS.[539]

Table 1: Number of Clients by Client Type (as of March 28, 2020)

Type of Client[a]	Number of Clients[b]
Banking or thrift institutions	195
Pooled investment vehicles	300
Pension and profit sharing plans	170
Charitable organizations	110
State or municipal government entities	10
Other investment advisers	960
Insurance companies	40

[537] *Id.*

[538] As noted in above, we are not aware of smaller firms that currently supply research, analysis, and recommendations to support the voting decisions of their clients that would fall within the definition of "solicitation." Thus we do not speculate as to how smaller firms might engage with registrants.

[539] *See* ISS Form ADV filing, *supra* note 508. ISS describes clients classified as "Other" as "Academic, vendor, other companies not able to identify as above."